STRATEGIC BUSINESS MANAGEMENT

Suggested Answers
March-April 2024

Answer to the Question# 1(a):

Ansoff Matrix (Product-Market) Strategy Applied to AK Group Limited

The Ansoff Matrix is a strategic planning tool used to devise strategies for growth. It identifies four main strategies: Market Penetration, Market Development, Product Development, and Diversification. Here's how it can be applied to AK Group:

1. **Market Penetration:**
    - **Current Products in Current Markets:** This strategy focuses on increasing market share for existing products in existing markets. AK Group can implement market penetration strategies by increasing its advertising efforts, offering promotions, and improving distribution channels in both Bangladeshi and European markets. For example, AK Group can increase the market share of its existing detergent products (like Blue Boom Detergent Paste) in the current markets through aggressive marketing and competitive pricing.
2. **Market Development:**
    - **Current Products in New Markets:** This strategy involves entering new markets with existing products. AK Group can expand its geographical reach beyond Europe and Bangladesh. For example, it could target emerging markets in Asia, Africa, or the Americas where demand for quality but affordable household and personal care products is increasing.
3. **Product Development:**
    - **New Products in Current Markets:** This strategy focuses on introducing new products to existing markets. AK Group can leverage its strong brand presence to introduce new products in its existing product categories. For instance, within its food cluster, it could develop new flavors of biscuits or innovate new health-oriented snacks to meet the growing demand for healthier food options.
4. **Diversification:**
    - **New Products in New Markets:** This is the most risky strategy and involves developing new products for new markets. AK Group has already shown a tendency towards diversification with its ventures into steel manufacturing and beverages. They could further diversify by exploring other unrelated industries such as technology or healthcare, providing entirely new product lines in new geographical areas.

b) Advantages of Diversification (Johnson et al., 2005)

According to Johnson et al. (2005), diversification has several advantages:

1. **Risk Reduction:**
    - By spreading investments across various industries and markets, companies can reduce the risk of relying on a single revenue stream.
2. **Growth Opportunities:**
    - Diversification can open up new avenues for growth by tapping into new markets and customer segments that are not related to the company's existing business operations.
3. **Utilization of Excess Resources:**

- Diversification allows firms to utilize surplus resources and capabilities more efficiently, such as using excess capital or managerial expertise to enter new industries.

4. **Market Power:**
   - It can increase a company's market power by enabling it to cross-sell products or leverage its existing brand reputation in new markets.

c) Distinguishing Between Vertical and Horizontal Integration

Vertical Integration:

- **Definition:** Vertical integration involves a company expanding its operations into different stages of production within its industry. This can be either backward integration (acquiring suppliers) or forward integration (acquiring distributors).
- **Example:** If AK Group decides to acquire a supplier of raw materials for its detergent manufacturing (backward integration) or purchase retail stores to sell its products directly to consumers (forward integration), it would be engaging in vertical integration.

Horizontal Integration:

- **Definition:** Horizontal integration involves a company acquiring or merging with a competitor that operates in the same industry and at the same stage of production.
- **Example:** If AK Group acquires another beverage company that produces similar drinks to those in its current portfolio, it would be engaging in horizontal integration.

d) Strategic Advice for AK Group

As a business consultant, to keep AK Group ahead of their strategy, I would advise the following:

1. Leverage Technological Advancements:
2. Focus on Sustainable Practices:
3. Expand R&D Efforts:
4. Strengthen Brand Positioning:
5. Explore Strategic Partnerships:
6. Enhance Distribution Networks:
7. Corporate Social Responsibility (CSR):

Answer to the Question# 2(a):

Current and non-current liabilities =Tk.387m +Tk.95m =Tk.482m

Sale of assets of supermarkets division

Proportion of assets to supermarkets division

Non-current assets = 70% ×Tk.550m =Tk.385m; Current assets = 70% ×Tk.122m =Tk.85.4m

Sale of assets =Tk.385m × 1.15 +Tk.85.4m × 0.80 =Tk.511.07m

Sale of supermarkets division as a going concern

Profit after tax attributable to the supermarkets division:Tk.166m/2 =Tk.83m

Estimate of value of supermarkets division based on the PE ratio of supermarket industry:Tk.83 × 7 =Tk.581m

Although both options generate sufficient funds to pay for the liabilities, the sale of

the supermarkets division as a going concern would generate higher cash flows and the spare cash ofTk.99m [Tk.581m –Tk.482m] can be used by Nabila Ltd. for future investments. This is based on the assumption that the value based on the industries' PE ratios is accurate.

Proportion of assets remaining within Nabila Ltd.

30% × (Tk.550m +Tk.122m) =Tk.201.6m

Add extra cash generated from the sale ofTk.99m

Maximum debt capacity =Tk.300.6m

Total additional funds available to Nabila Ltd. for new investments =Tk.300.6m +Tk.99m = Tk.399.6m

Answer to the Question# 2(b):

With a Mudaraba contract, the profits which Pixel Ltd. makes from the joint venture would be shared according to a pre-agreed arrangement when the contract is constructed between Pixel Ltd. and Ulap Bank.

Losses, however, would be borne solely by Ulap Bank as the provider of the finance, although provisions can be made where losses can be written off against future profits. Ulap Bank would not be involved in the executive decision-making process. In effect, Ulap Bank's role in the relationship would be similar to an equity holder, holding a small number of shares in a large organisation.

With a Musharaka contract, the profits which Pixel Ltd. makes from the joint venture would still be shared according to a pre-agreed arrangement similar to a Mudaraba contract, but losses would also be shared according to the capital or other assets and services contributed by both the parties involved in the arrangement. Therefore, a value could be put to the contribution-in-kind made by Pixel Ltd. and any losses would be shared by Ulap Bank and Pixel Ltd. accordingly. Within a Musharaka contract, Ulap Bank can also take the role of an active partner and participate in the executive decision-making process.

With the Mudaraba contract, Pixel Ltd. would essentially be an agent to Ulap Bank, and many of the agency issues facing corporations would apply to the arrangement, where Pixel Ltd. can maximise its own benefit at the expense of Ulap Bank. Pixel Ltd. may also have a propensity to undertake excessive risk because it is essentially holding a long call option with an unlimited upside and a limited downside.

Ulap Bank may prefer the Musharaka contract in this case, because it may be of the opinion that it needs to be involved with the project and monitor performance closely due to the inherent risk and uncertainty of the venture, and also to ensure that the revenues, expenditure and time schedules are maintained within initially agreed parameters. In this way, it may be able to monitor and control agency related issues more effectively and control Pixel Ltd.'s risky actions and decisions. Being closely involved with the venture would change both Pixel Ltd.'s and Ulap Bank's roles and make them more like stakeholders rather than principals and agents, with a more equitable distribution of power between the two parties.

Nabila Ltd.'s concerns would mainly revolve around whether it can work with Ulap Bank and the extra time and cost which would need to be incurred before the joint venture can start. If Pixel Ltd. had not approached Ulap Bank for funding, the relationship between Nabila Ltd. and Pixel Ltd. would be less complex within the joint venture. Although difficulties may arise about percentage ownership and profit sharing, these may be resolved through negotiation and having tight specific contracts. The day-to-day running, management and decision-making process could be resolved

through negotiation and consensus. Therefore having a third party involved in all aspects of the joint venture complicates matters.

Nabila Ltd. may feel that it was not properly consulted about the arrangements between Pixel Ltd. and Ulap Bank, and Pixel Ltd. would need to discuss the involvement of Ulap Bank with Nabila Ltd. and gets its agreement prior to formalising any arrangements. This is to ensure a high level of trust continues to exist between the parties, otherwise the venture may fail.

Nabila Ltd. may want clear agreements on ownership and profit-sharing. They would want to ensure that the contract clearly distinguishes them as not being part of the Musharaka arrangement which exists between Pixel Ltd. and Ulap Bank. Hence negotiation and construction of the contracts may need more time and may become more expensive.

3 a) Why do you think the new CEO of BRAIN was so eager to make an acquisition?

The new CEO was eager to make an acquisition for several reasons:

1. **Strategic Transformation:** The CEO, a software engineer by background, aimed to transform BRAIN from a primarily hardware-focused company into a fast-growing software firm. This strategic shift was intended to align the company with the rapidly growing software industry and capitalize on higher margins and growth potential.
2. **Board and Leadership Support:** The newly appointed Chairman, also a software specialist, supported this vision, creating a favorable environment for the CEO to pursue acquisitions that would drive this transformation.
3. **Market Pressure:** BRAIN was facing pressure to abandon its less profitable tablet segment and reconsider its presence in the highly competitive PC market. An acquisition in the software space presented an opportunity to pivot towards a more promising sector.

3 b) Why do most acquisitions result in paying a premium over the market price?

Most acquisitions involve paying a premium over the market price due to several factors:

1. **Control Premium:** Buyers often pay a premium for the control over the acquired company, which includes the ability to make strategic decisions, restructure the company, and integrate it into their operations.
2. **Synergies:** Buyers anticipate synergies from the acquisition, such as cost savings, revenue enhancements, and strategic benefits that justify paying more than the current market value.
3. **Competition:** When multiple buyers are interested in acquiring a company, the competitive bidding process can drive up the purchase price, resulting in a premium over the market price.
4. **Strategic Value:** The acquiring company may see unique strategic value in the target company that is not fully reflected in its market price, such as proprietary technology, market position, or talent.

3 c) Was it worth acquiring GALAXY at a 35% premium? Evaluate the role of the BRAIN's board in acquiring GALAXY at 35%.

Worth of Acquisition: Acquiring GALAXY at a 35% premium does not appear to have been worth it based on the subsequent financial performance and shareholder reaction. The acquisition led to a significant stock price drop, financial write-downs, and the firing of the CEO, indicating that the anticipated benefits did not materialize.

Role of BRAIN's Board:

1. **Inadequate Due Diligence:** The board's decision to approve the acquisition without thoroughly analyzing the financial health and true value of GALAXY was a critical oversight. Proper due diligence might have revealed issues that could have altered their decision.
2. **Lack of Financial Scrutiny:** The board approved a high premium based on strategic vision rather than rigorous financial analysis. This lack of scrutiny and reliance on qualitative assessments rather than quantitative evaluations contributed to the overvaluation.
3. **Incomplete Evaluation:** Only half of the board evaluated the acquisition proposal due to their focus on other issues, leading to an incomplete and potentially biased assessment of the deal.
4. **Ignoring Internal Concerns:** The chief financial officer and other key financial advisors raised concerns about the deal's affordability and strategic fit, which were not adequately addressed by the board.

3 d) Is there anything BRAIN and Galaxy could have done differently to avoid the public backlash and share price drop the company suffered?

Actions BRAIN Could Have Taken:

1. **Thorough Due Diligence:** Conducting more comprehensive due diligence to fully understand GALAXY's financials and operational health could have prevented overpayment and subsequent financial write-downs.
2. **Transparent Communication:** Engaging in transparent and timely communication with shareholders and the investment community about the strategic rationale, expected synergies, and financial implications of the acquisition could have mitigated backlash.
3. **Gradual Transition:** Instead of a sudden shift away from the PC and tablet business, BRAIN could have implemented a more gradual transition strategy, maintaining revenue streams while building up the software segment.
4. **Independent Valuation:** Seeking independent valuations and second opinions on the acquisition price and strategic fit might have provided a more balanced perspective and avoided overpaying.

Actions Galaxy Could Have Taken:

1. **Accurate Financial Reporting:** Ensuring complete accuracy and transparency in financial reporting would have built trust and prevented allegations of financial impropriety.
2. **Open Communication:** Proactively communicating with potential acquirers about any financial issues or discrepancies could have prevented misunderstandings and subsequent disputes.
3. **Negotiation Flexibility:** Being more flexible in price negotiations might have led to a fairer valuation and a more favorable outcome for both parties.

By taking these steps, both BRAIN and GALAXY could have mitigated the negative financial and reputational impacts of the acquisition.

4 a) Underlying Resources Giving Star Communications a Strong Competitive Position

1. **Extensive Network Coverage:**
    - Star Communications covers more than 90% of the nation, providing fewer dead zones compared to rivals.
2. **High-Speed Wireless Networks:**

- Significant investment in 4G technology and fiber-optic backbone, ensuring rapid download rates and high-quality user experience.

3. **Customer Care Infrastructure:**
   - Advanced automated software for analyzing customer call habits and proactive customer service strategies.
4. **Integration with Fintech Services:**
   - Seamless integration with mobile financial services, facilitating easy and convenient purchase options for wireless services.
5. **Economies of Scale:**
   - Largest subscriber base in the industry, allowing for lower cost per connection due to spreading fixed costs over more customers.

4 b) How These Resources Improve Building Blocks of Competitive Advantage

1. **Efficiency:**
   - **Network Coverage and Scale:** The extensive network and large customer base allow Star Communications to spread fixed costs over a larger number of users, reducing the cost per connection (Tk. 10 per month versus Tk. 15 for competitors).
   - **Technological Investments:** Investments in 4G and fiber-optic technology enhance data transport efficiency, lowering operational costs and improving service delivery.
2. **Quality:**
   - **High-Speed Networks:** Advanced 4G and upcoming 5G networks ensure rapid download rates and a high-quality user experience, particularly for data-intensive applications like video streaming.
   - **Network Performance:** Consistent top rankings in network performance metrics (dropped calls, text notifications, web connection errors, download rates) reflect a high-quality service offering.
3. **Customer Responsiveness:**
   - **Proactive Customer Care:** Automated systems for analyzing call habits and recommending tailored plans ensure that customer needs are anticipated and met proactively, increasing customer satisfaction and reducing churn.
   - **Integration with Fintech:** Facilitating convenient purchases through mobile financial services enhances customer satisfaction and retention by making transactions seamless and accessible.
4. **Innovation:**
   - **Technology Leadership:** Continuous investment in cutting-edge technologies like 5G positions Star Communications as an industry innovator, attracting tech-savvy customers and maintaining a competitive edge.
   - **Custom Service Packages:** The ability to offer personalized service packages through advanced technology infrastructure boosts customer satisfaction and usage rates.

4 c) Maintaining Competitive Advantage in an Increasingly Competitive Market

1. **Address Network Issues:**
   - **Improve Network Reliability:** Invest in addressing dropped call issues in both urban and rural areas to maintain a strong brand image and customer satisfaction.
   - **Regular Upgrades and Maintenance:** Ensure the network infrastructure is regularly upgraded and maintained to minimize service disruptions and enhance reliability.
2. **Enhance Customer Experience:**
   - **Expand Proactive Customer Service:** Further develop automated and AI-driven customer service solutions to enhance customer interaction and satisfaction.

- **Customer Feedback Mechanisms:** Implement robust feedback mechanisms to quickly identify and resolve customer issues, thus preventing churn.

3. **Leverage 5G Technology:**
   - **Accelerate 5G Deployment:** Lead the market in the deployment of 5G technology to offer superior data speeds and attract early adopters.
   - **Innovative 5G Applications:** Develop and market innovative applications and services that leverage the capabilities of 5G to differentiate from competitors.
4. **Strengthen Fintech Integration:**
   - **Enhance Mobile Financial Services:** Continue to innovate and expand the integration with mobile financial services to make purchasing and managing wireless services even more convenient.
   - **Partnerships and Collaborations:** Form strategic partnerships with fintech companies to offer new and improved services that enhance customer convenience and loyalty.
5. **Sustainable Competitive Strategies:**
   - **Cost Leadership:** Continue to drive down network delivery costs through network virtualization and digital customer service engagement to maintain a cost advantage over competitors.
   - **Differentiation:** Maintain and enhance differentiation through superior network performance, customer service, and innovative service offerings.
6. **Marketing and Branding:**
   - **Aggressive Marketing:** Maintain aggressive marketing strategies to communicate coverage, quality, and technological advancements to potential and existing customers.
   - **Brand Loyalty Programs:** Develop and implement loyalty programs to reward long-term customers and reduce churn.

By focusing on these areas, Star Communications can continue to strengthen its competitive position and sustain its leadership in the increasingly competitive wireless telecommunications industry.

Answer to the Question# 5(a):

This appears that Digital Dhaka Ltd and Pixel Dhaka Ltd jointly control Blossom Ltd and it appears as though the arrangement is a joint venture under IFRS 11 Joint Arrangements as the parties have joint control of the arrangement and have rights to the net assets of the arrangement. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control. This is the case with Blossom Ltd. A joint venturer recognizes its interest in a joint venture as an investment and accounts for that investment using the equity method in accordance with IAS 28 Investments in Associates and Joint Ventures unless the entity is exempted.

Answer to the Question# 5(b):

Digital Dhaka Ltd has exchanged non-monetary assets for its investment in Blossom Ltd, and thus needs to de-recognize the assets it is contributing to Blossom Ltd in its financial statements. The carrying amount of BDT 12 million of the property is derecognized but the intellectual property of Digital Dhaka Ltd has been generated internally and does not have a carrying amount. The cryptocurrency is recorded as an asset in the financial statements of Digital Dhaka Ltd at BDT 6 million but will be valued at BDT 8 million, its fair value in the financial statements of Blossom Ltd. Accordingly, when a joint venturer contributes a non-monetary asset to a joint venture in exchange for an equity interest in the joint venture, the joint venturer recognizes a portion of the gain or loss

on disposal which is attributable to the other parties to the joint venture (except when the contribution lacks commercial substance).

Basically, Digital Dhaka Ltd is required by IAS 28 to limit the profit on disposal of its non-monetary assets to 50%. Effectively, Digital Dhaka Ltd has only disposed of 50% of the asset contributed to the joint venture. Therefore, the carrying amount of the joint venture in Digital Dhaka Ltd.'s financial statements at 31 December 2021 will be BDT 23 million ((BDT 12 + BDT 6 carrying amounts derecognized for property and cryptocurrency) + ((BDT 8 – BDT 6)/2) + ((BDT 20 – BDT 12)/2)). A gain of BDT 5 million will be recorded in the profit or loss account.

Answer to the Question# 5(c):

A crypto currency is a form of digital asset based on a network that is distributed across many computers. This decentralized structure allows crypto currencies to exist outside the control of governments and central authorities. Cryptocurrency cannot be considered a financial asset since there is no contractual right to receive cash or another financial instrument from an entity. It does not represent cash or an equity instrument. Since cryptocurrency is not cash or cash equivalents as its value is exposed to significant changes in market value and there is no contractual right to receive either cash or cash equivalents, it fails the definition of a financial asset. Cryptocurrency is to be recognised as an intangible asset, and the default position would be to measure it at cost. However, there may be an argument to say that there is an active market for cryptocurrency in which case, it would be possible for it to be measured at fair value. In this case, movements in that fair value would be recognized through other comprehensive income and the gain would not be recycled through profit or loss when the cryptocurrency is realised. The best way to account for a cryptocurrency would be fair value as that is the value at which the entity will realise their investment or transact in exchange for goods and services. Accounting for cryptocurrency at fair value with movements reflected in profit or loss would provide the most useful information to investors but existing accounting requirements do not appear to permit this.

Answer to the Question# 6(a):

Audit fee and big data and data analytics:

There is increased use of information technology in modern business and this has increased in view of connectivity of systems arising from increased use of internet. Auditors can take ad-vantage of big data and data analytics through increased use of Computer Assisted Audit Tech-niques (CAATs). This means that most of the work that would ordinarily be done manually by auditors can now be done using CAATs.

Ways in which auditors can take advantage of the use of CAATs:

Auditors can use audit software to perform tests of controls and test data to test the operating effectiveness of the system.

Auditors may also not need to test the controls because they may not need to rely on internal controls because of the possibility of testing 100% of the population. There could be cost bene-fits in doing this.

Arising from the above, auditors could reduce the cost of audits and the request of the CFO could be justifiable and the auditors should consider the benefits of big data and data analytics to the clients.

Answer to the Question# 6(b):

Impact of big data & data analytics on sampling risk:

Audit risk is the risk that the auditor will reach an inappropriate audit opinion on account of concluding on the population based on sample results. If the auditors perform the same tests on the whole population they may reach a different opinion.

Taking advantage of big data and data analytics, the auditors may test 100% of the transactions rather than just a sample. This means that sampling risk could be eliminated altogether.

Further, the auditors may not need to rely on internal controls because of the fact that 100% testing could be done without auditors requiring to rely on internal controls.

Answer to the Question# 6(c):

Business risks in Pragati Limited:

1. Stiff competition

   The arrival on the market of a leading car manufacturer could result in significantly low sales volumes which could impact the company in terms of profitability. The company could face going concern problems if volumes of sales cannot be increased.

2. Government lifting of ban on importation of used cars – The major customer of Pragati Lim-ited is the Government and this switch will mean a significant reduction in income. Coupled with the competitor who has entered the market, this will impact on the ability of Pragati Limited ’s ability to continue operations.

3. The importation of cheap car components from the Far East has resulted in increased cus-tomer complaints. This will bring customer dissatisfaction and possibility of customers switch-ing suppliers.

4. Failure by Pragati Limited to comply with the law to migrate to electrical vehicles may result in the operating license being withdrawn by the regulatory authorities.

5. AK Chowdhury who is leading the research department may leave Pragati Limited for greener pastures due to high demand for this type of labor. If this happens, then Pragati Limited risks failing to migrate to electric cars.

Answer to the Question# 6(d):

Audit risk and suitable responses in the audit of Pragati Limited:

Audit risk	Suitable response
1. Newly recruited Chief Financial Officer (CFO) – Since the CFO is new and he is key in the preparation of the financial statements in accordance with the relevant financial regulations. The risk of errors in the financial statements will be higher than if an experienced CFO was present.	Emphasis to the audit team to observe professional skepticism throughout the audit. Close supervision of the work done will need to be done.
2. Stiff competition could result in reduced revenue for Pragati Limited which could have implications on the company's going concern status. Going concern has an impact on the basis of the preparation of the financial statements.	During the performance of audit procedures look out for any signs that the company is not a going concern. Further, evaluate the basis of management concluding that the company is a going concern.
3. The Government change in policy to stop buying brand new vehicles opting for second hand vehicles from Japan will affect Pragati Limited 's ability to continue operations.	Inquire from management how it thinks it will compete in view of increased competition. Evaluate the ability of the company as a going concern based on management's assessment.

7 a) How the Culture of NewGen Created the Ethical Scandal

1. **Profit-Driven Culture:**
    - NewGen's intense focus on outperforming competitors and maintaining market dominance may have prioritized profits over ethical considerations. The drive to surpass rivals like Toyota, Ford, and General Motors could have pressured employees and executives to take unethical shortcuts.
2. **Lack of Ethical Leadership:**
    - The involvement of the CEO and senior management in the scandal suggests a top-down disregard for ethical behavior. When leaders engage in unethical conduct, it sets a precedent for the rest of the organization, signaling that such behavior is acceptable or even encouraged.
3. **Compartmentalized Communication:**
    - The concealment of the defeat device and manipulation of emissions tests indicates a culture of secrecy and compartmentalization. Important information was likely restricted to a select few, preventing broader organizational awareness and accountability.
4. **Technological Misuse:**
    - While NewGen utilized technological advancements for success, the same technology was exploited unethically. The defeat device's development and implementation point to a systemic misuse of technology driven by a culture that prioritized technological superiority and market compliance over ethical integrity.
5. **Failure to Foster Ethical Accountability:**

- NewGen's failure to establish robust internal checks and balances allowed unethical practices to flourish. There was a lack of mechanisms to ensure accountability and transparency, which might have otherwise prevented or mitigated the scandal.

7 b) How NewGen Can Recover from This Ethical Disaster

1. **Leadership Change and Accountability:**
   - Appoint new leadership committed to ethical practices and transparency. This should include hiring an external CEO with a strong reputation for integrity. Publicly holding those involved in the scandal accountable, including the CEO and implicated team members, can help restore trust.
2. **Strengthening Ethical Policies:**
   - Revise and strengthen corporate governance policies to enforce strict adherence to ethical standards. This includes implementing a comprehensive ethics training program for all employees and establishing a whistleblower system to report unethical behavior without fear of retribution.
3. **Transparency and Communication:**
   - Openly communicate the steps being taken to address the scandal and prevent future occurrences. Regular updates on progress and changes should be shared with stakeholders, including employees, consumers, and investors, to rebuild trust and demonstrate commitment to ethical behavior.
4. **Third-Party Audits and Compliance:**
   - Engage independent third parties to conduct regular audits of business practices and environmental compliance. These audits should be transparent, with findings publicly disclosed to ensure accountability and rebuild credibility.
5. **Corporate Social Responsibility (CSR) Initiatives:**
   - Enhance CSR efforts to demonstrate a genuine commitment to sustainability and community development. This could include investing in green technologies, supporting environmental initiatives, and engaging in projects that contribute to social and environmental well-being.

By taking these steps, NewGen can begin to rebuild its reputation and demonstrate a renewed commitment to ethical practices and sustainability. The focus should be on long-term cultural change, ensuring that ethical behavior becomes a fundamental aspect of the company's identity.

---The End---